

“Allen, I found that one of the credit card issuers is planning legal action to collect their money. You may well be facing a judgment and garnishment if they do.”

Allen almost felt faint when he heard that news. *That definitely will cost me my job*, he thought. “What do you suggest?” he asked, numb.

“I want you to go to a financial coach who will help you to work out a plan. I know him well, and we’ll work with you in whatever action he decides you should take.”

Allen called the coach for a meeting, and he asked him to come in the next day with Sherry. The solution to Allen and Sherry’s problems was difficult but not complicated.

The coach, Art Hill, said the first step was to get an accurate picture of where they stood financially, and asked them to withhold nothing. Together they listed every debt and found that Allen and Sherry had accumulated nearly \$3,000 in additional debt since the consolidation loan. Basically they were back on the same track they had been on before the loan, but with greater expenses each month because of the second mortgage.

They were also delinquent on almost every debt, including a MasterCard bill that had not been paid in five months. Their basic household expenses, together with minimum payments on their debt, took 120 percent of their income, including the average bonus Allen received.

Even before Allen took on the consolidation loan, their average monthly expenses consumed over 95 percent of their income without such costs as clothes, medical, and dental bills. The consolidation loan allowed them to avoid the reality of a bad situation for a few more months. They were unable to give anything to their church, even though both Allen and Sherry had been tithing Christians since their youth. During the past several months, they had stopped going to church and rarely prayed together, even though that also had been their commitment since before they were